Generating income

Earning sufficient income to ensure regular savings and investments is the basis of building wealth. The more sources of income the better, especially if some of those sources are passive, or unearned.

How it works

Wealth can be amassed in various ways, almost all of which rely on income. Inheriting money, property, or other assets is the fast track to wealth, but for anyone who can not rely on a large inheritance, savings and investments are the two principal strategies. Income can be earned in two main ways. The most common route is via active or earned income, such as wages, which usually involve a degree of exertion to generate. Passive income includes rent from property and portfolio income, such as dividends from stocks and shares or interest from bonds. Regardless of the source of income, if an individual's earnings are not high enough to cover expenses and still have some left over, it becomes almost impossible to build wealth. With this in mind, the goal of building wealth must be underpinned by a strategy for generating enough income to allow saving.